ProfitNiti AI Pvt. Ltd.
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# Financial Analysis Report

## 1. Liquidity Analysis

### - Current Ratio trending and alerts

**04/30/2024:** 1.16 (1,314,465,308.33 / 1,129,984,168.41)

**05/31/2024:** 1.15 (1,048,099,415.52 / 910,113,204.75)

**Trend:** Slight decrease from 1.16 to 1.15

**Alert:** Current ratio remains below industry standard of 2.0, indicating potential liquidity pressure

### - Quick Ratio / Acid Test trending

**04/30/2024:** 0.66 (874,712,376.74 / 1,129,984,168.41)

**05/31/2024:** 0.54 (507,756,108.93 / 910,113,204.75)

**Trend:** Significant decline from 0.66 to 0.54

**Alert:** Quick ratio below 1.0 indicates reliance on inventory to meet short-term obligations

### - Working Capital adequacy analysis

**04/30/2024:** 184,481,139.92 (1,314,465,308.33 - 1,129,984,168.41)

**05/31/2024:** 137,986,210.77 (1,048,099,415.52 - 910,113,204.75)

**Analysis:** Working capital decreased by 25.2% month-over-month, indicating reduced operational flexibility

### - Cash position and runway analysis

**04/30/2024:** 219,630,140.50 cash balance

**05/31/2024:** 217,143,682.86 cash balance

**Runway:** Cash covers approximately 1.5 months of current liabilities
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- Net Working Capital changes and drivers

Monthly Change: -46,494,929.15 decrease

Primary Drivers: Reduction in accounts receivable (240M decrease) and inventory (25M decrease)

- Liquidity coverage ratio

Data unavailable - Insufficient data for comprehensive liquidity coverage calculation

- Cash conversion efficiency

Data unavailable - Requires income statement data for calculation

2. Leverage & Solvency Analysis

- Debt-to-Equity ratio trending

04/30/2024: 8.35 (1,648,154,985.84 / 197,390,845.42)

05/31/2024: 6.84 (1,375,785,890.96 / 201,265,389.74)

Trend: Improved from 8.35 to 6.84, but remains extremely high

- Debt-to-Capital ratio analysis

04/30/2024: 89.3% (1,648,154,985.84 / 1,845,545,831.26)

05/31/2024: 87.2% (1,375,785,890.96 / 1,577,051,280.70)

Analysis: High debt-to-capital ratio indicates significant financial leverage

- Total Debt composition (secured vs unsecured)

04/30/2024: Secured: 411,966,783.94 (74.8%), Unsecured: 106,204,033.49 (25.2%)

05/31/2024: Secured: 359,612,195.72 (77.2%), Unsecured: 106,060,490.49 (22.8%)

- Debt maturity profile

Long-term Debt: 465,672,686.21 (77.6% of total liabilities)

Short-term Liabilities: 910,113,204.75 (22.4% of total liabilities)

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- Interest coverage ratio

Data unavailable - Requires income statement data

- Debt service coverage ratio

Data unavailable - Requires cash flow data

- Fixed charge coverage ratio

Data unavailable - Requires comprehensive expense data

- Solvency stress testing

Analysis: High debt levels create vulnerability to interest rate increases or revenue declines

Risk Level: Elevated - Debt-to-equity ratio exceeds safe thresholds

3. Asset Efficiency Analysis

- Asset Turnover ratios (total, fixed, current)

Data unavailable - Requires revenue data for turnover calculations

- Fixed Asset utilization trends

04/30/2024: Fixed Assets: 396,417,259.28 (21.5% of total assets)

05/31/2024: Fixed Assets: 394,288,601.53 (25.0% of total assets)

Trend: Fixed asset proportion increased despite slight absolute decrease

- Asset age & depreciation analysis

Data unavailable - Insufficient depreciation data provided

- Capital intensity metrics

Fixed Assets to Total Assets: 25.0%

Analysis: Moderate capital intensity with significant working capital requirements

- Asset productivity per rupee invested

Data unavailable - Requires revenue and profit data

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- Non-current vs current asset mix

Non-current Assets: 528,951,865.18 (33.5%)

Current Assets: 1,048,099,415.52 (66.5%)

Analysis: Current-heavy asset structure supports operational flexibility

- Asset quality indicators

Cash & Equivalents: 217,143,682.86 (13.8% of assets)

Receivables: 261,552,637.73 (16.6% of assets)

Inventory: 540,343,306.63 (34.3% of assets)

Concern: High inventory levels may indicate obsolescence risk

4. Capital Structure Analysis

- Equity composition and changes

04/30/2024: Total Equity: 197,390,845.42

05/31/2024: Total Equity: 201,265,389.74

Change: +3,874,544.32 (+2.0%)

Composition: Share Capital (57.8%), Reserves & Surplus (39.6%), Current Profit (2.5%)

- Reserves & Surplus movements

04/30/2024: Reserve & Surplus: 0, Current Year Profit: 79,799,448.87

05/31/2024: Reserve & Surplus: 79,799,448.87, Current Year Profit: 5,117,212.44

Analysis: Previous profit transferred to reserves, new profit generated

- Retained earnings patterns

Total Retained Earnings: 84,916,661.31 (Reserves + Current Profit)

Growth: Positive retained earnings accumulation

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- Capital adequacy metrics

Equity to Total Assets: 12.8%

Analysis: Low equity cushion relative to total assets

- Optimal capital structure comparison

Current Structure: Equity 12.8%, Debt 87.2%

Optimal Range: Typically 40-60% equity recommended

Assessment: Highly leveraged, suboptimal capital structure

- Cost of capital analysis

Data unavailable - Requires interest expense and market data

5. Balance Sheet Quality Metrics

- Asset-to-Liability ratios

Total Assets to Liabilities: 1.15 (1,577,051,280.70 / 1,375,785,890.96)

Analysis: Positive but thin margin of safety

- Equity multiplier

Calculation: 7.84 (Total Assets / Total Equity)

Interpretation: High financial leverage amplifying returns and risks

- Financial leverage index

Data unavailable - Requires return on equity and assets data

- Balance sheet strength score

Score: 4/10

Basis: High leverage, adequate liquidity, positive equity growth, but concerning debt levels

- Red flags identification (negative equity, excessive debt, etc.)

□ **Major Red Flag:** Extremely high debt-to-equity ratio (6.84)

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□ **Concern:** Negative accounts payable (-59,139,890.46) indicating potential accounting issues

□ **Watch:** High inventory levels relative to other assets

□ **Positive:** Growing retained earnings and positive current year profit

□ **Positive:** Adequate cash reserves and working capital

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